Public choice theory encourages us to think that all officials and all politicians are cut from the same cloth. We have to construct systems of checks and balances, that will work through rational incentives of all parties, and without assumptions that any one person is a saint.

The limits of public choice theory

Public choice theory views every official and every politician as purely self interested. In reality, every individual in public life has a mixture of personal and altruistic elements. We should see public choice theory as a cautious approach: we should design institutions assuming self-interested actors, and we will do better to the extent that some saints are recruited.

A more substantive critique of public choice theory is that substantial state capacity has generally required the construction of a professional ethos, of harnessing the inherent human desire for each person in the policy process to give an account of ones work to peers and to earn the respect of peers.

At first blush, the misbehaviour of policemen will be checked by requiring that they wear body-cams which record video and audio of their every move. But going beyond that, the next level of state capacity can only come about when policemen think that they work for the common good. Being good should be important to each policeman, over and beyond the check and balance that are brought about by wearing body-cams.

Our view is that India is at an early stage in the journey to state capacity. At our levels of capability, a simple-minded use of public choice theory is particularly useful. In future decades, as capabilities develop, we would shift gears in favour of the importance of professional ethos.

Element 5: The voter rationality constraint

Democracy is the system where wicked people lie to stupid people.